Political Economy and Growth Diagnostics

A walk through the frameworks behind the country profile

Three forces matter for growth

- **Politics** — the distribution of power, the contest over rents and authority
- **Institutions** — the durable rules that shape behavior
- **State capacity** — the ability to implement, regulate, and enforce

And they don't sit in separate boxes. Politics shapes which institutions take hold; institutions shape what the state can actually do; state capacity loops back to who holds power tomorrow.

Three entry points to the same puzzle.

Why frameworks?

A good framework helps us read three things at once:

1. **The growth story** — why did this country grow when it did, and stagnate when it did?
2. **The syndrome** — why do binding constraints persist? What keeps them in place even when everyone can see them?
3. **Feasibility** — which recommendations have a chance of being adopted, implemented, and sustained?

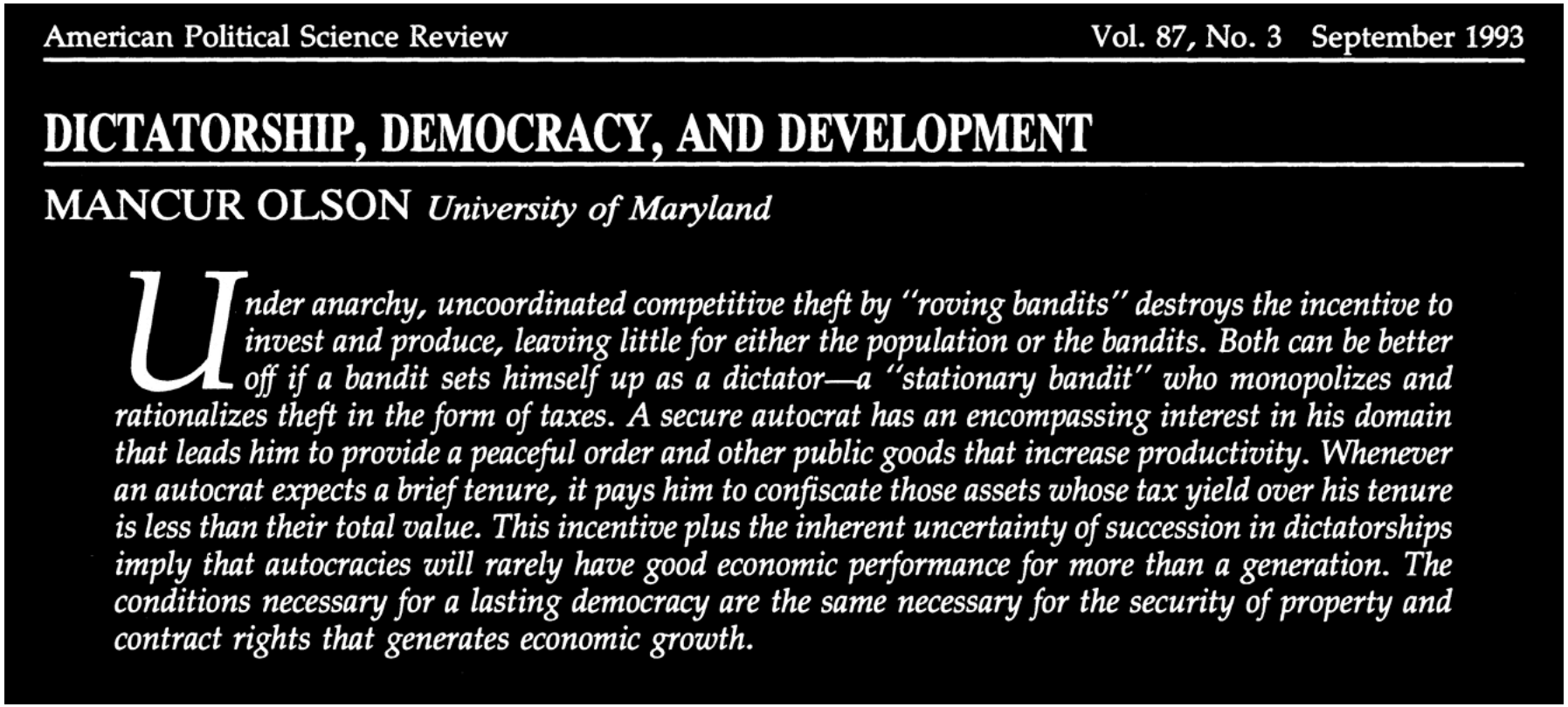
The work: understand developing countries, and produce recommendations they can act on.

A walk through the frameworks

Greatest hits

- **Charles Tilly** — *War Making and State Making* (1985)
- **Douglass North** — *Institutions, Institutional Change and Economic Performance* (1990)
- **Mancur Olson** — *The Stationary Bandit* (1993)
- **North, Wallis & Weingast** — *Violence and Social Orders* (2009)
- **Mushtaq Khan** — *Political Settlements and the Governance of Growth-Enhancing Institutions* (2010)
- **Acemoglu & Robinson** — *Why Nations Fail* (2012)
- **Pritchett, Werker & Sen** — *Deals and Development* (2018)
- **Kelsall, Schulz, Ferguson, vom Hau, Hickey & Levy** — *Political Settlements and Development* (2022)

Olson (1993) — the stationary bandit



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DICTATORSHIP, DEMOCRACY, AND DEVELOPMENT

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Under anarchy, uncoordinated competitive theft by "roving bandits" destroys the incentive to invest and produce, leaving little for either the population or the bandits. Both can be better off if a bandit sets himself up as a dictator—a "stationary bandit" who monopolizes and rationalizes theft in the form of taxes. A secure autocrat has an encompassing interest in his domain that leads him to provide a peaceful order and other public goods that increase productivity. Whenever an autocrat expects a brief tenure, it pays him to confiscate those assets whose tax yield over his tenure is less than their total value. This incentive plus the inherent uncertainty of succession in dictatorships imply that autocracies will rarely have good economic performance for more than a generation. The conditions necessary for a lasting democracy are the same necessary for the security of property and contract rights that generates economic growth.

Tilly — war made the state

5. War Making and State Making as Organized Crime

Charles Tilly

Warning

If protection rackets represent organized crime at its smoothest, then war making and state making – quintessential protection rackets with the advantage of legitimacy – qualify as our largest examples of organized crime. Without branding all generals and statesmen as murderers or thieves, I want to urge the value of that analogy. At least for the European experience of the past few centuries, a portrait of war makers and state makers as coercive and self-seeking entrepreneurs bears a far greater resemblance to the facts than do its chief alternatives: the idea of a social contract, the idea of an open market in which operators of armies and states offer services to willing consumers, the idea of a society whose shared norms and expectations call forth a certain kind of government.

Douglass North — the violence problem

The fundamental challenge of any state: containing organized violence.

Limited access orders (most societies, historically) — elites restrict political and economic competition. Rents are the glue that keeps the coalition stable instead of fighting.

Open access orders (a handful of modern states) — impersonal rules, competitive politics, competitive markets. But these only emerge *after* the violence problem has been solved.

A bridge from Olson and Tilly to everything that follows — institutions, settlements, deals.

Acemoglu & Robinson — evolution of institutions

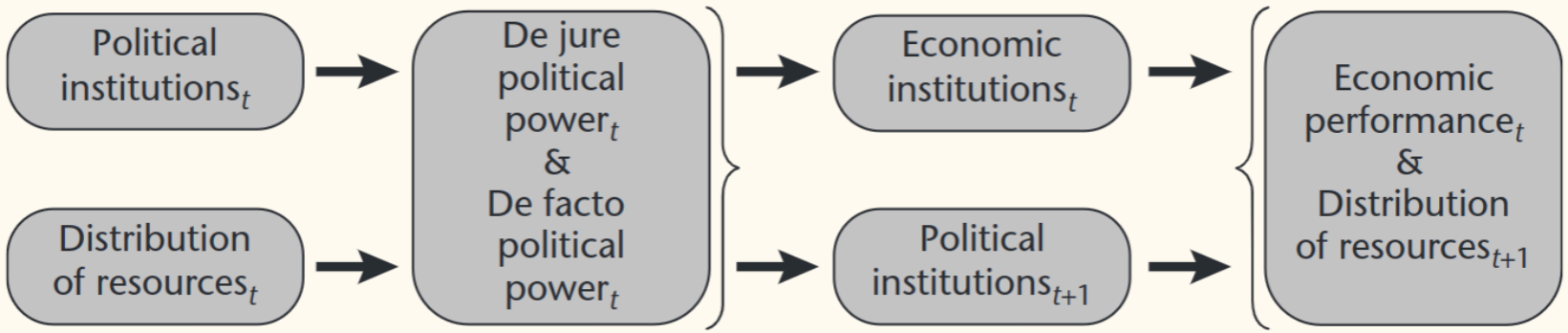


Figure 1.5. Evolution of political and economic institutions in Acemoglu–Robinson

Source: Acemoglu and Robinson (2008).

A&R — institutional change

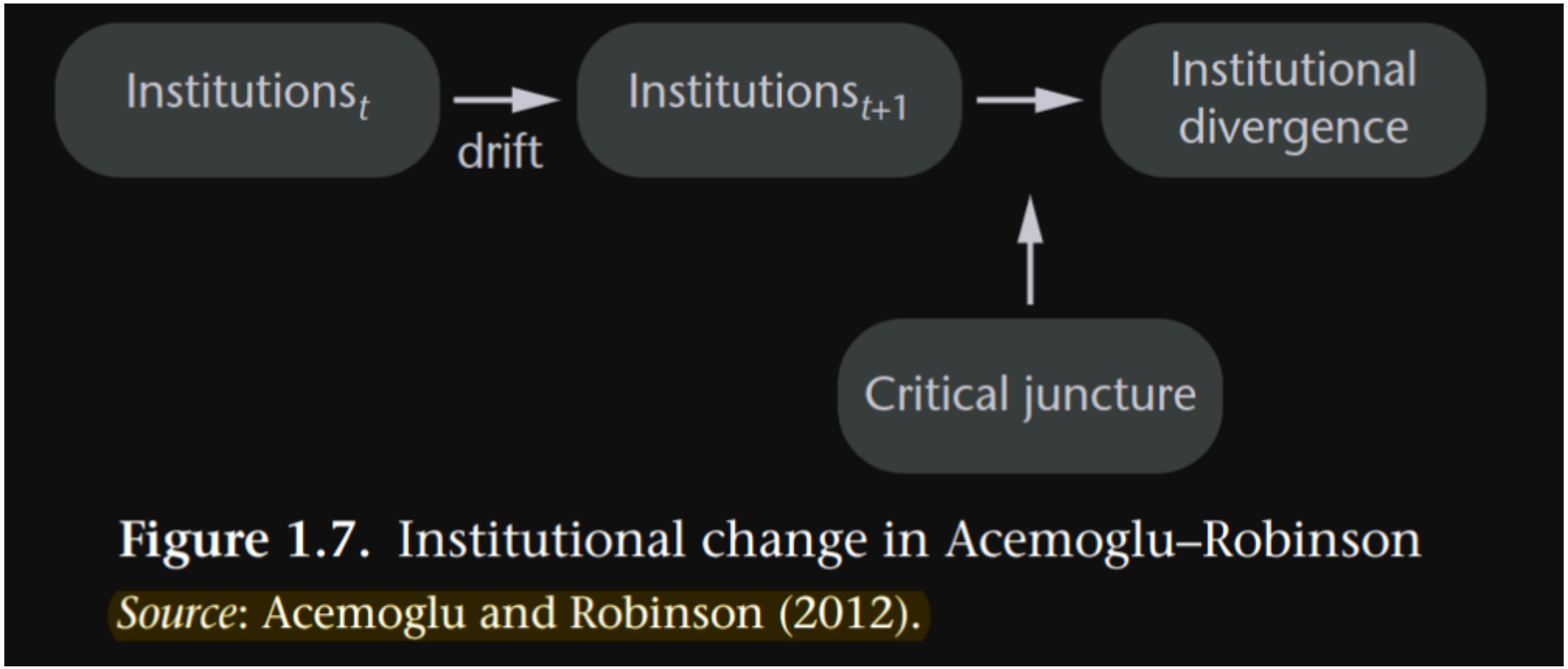


Figure 1.7. Institutional change in Acemoglu–Robinson

Source: Acemoglu and Robinson (2012).

Deals and Development

Pritchett, Werker & Sen (2018)

Three ingredients

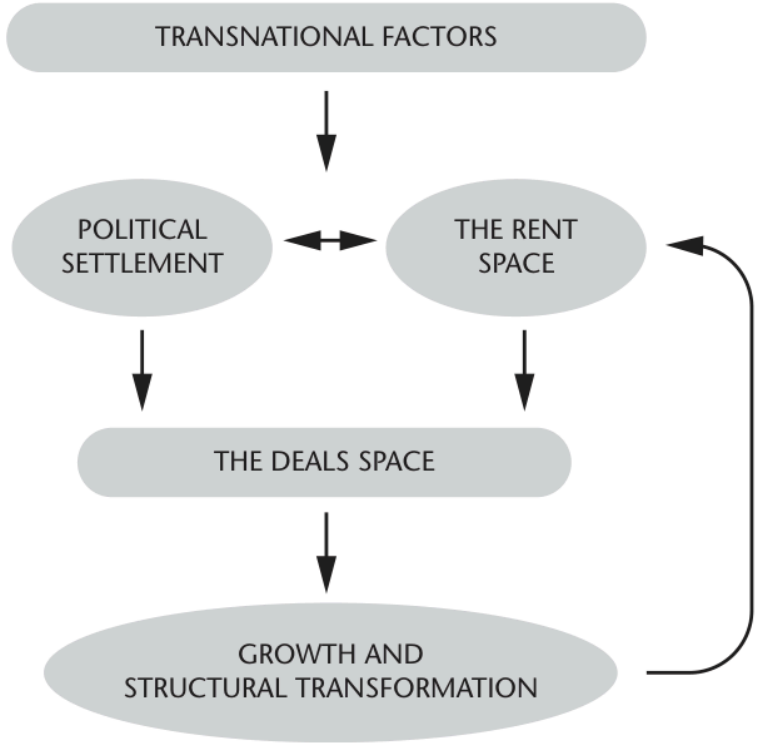


Figure 1.15. Interrelationships between political settlements, the rents space, and the deals space

Source: Authors' illustration.

Political settlement — power configuration

Vertical/horizontal distribution of power		Horizontal distribution of power: power of excluded factions	
		Weak	**Strong**
Vertical distribution of power: power of lower level factions	**Weak**	Strong dominant party	Vulnerable authoritarian coalition
	Strong	Weak dominant party	Competitive clientelist

Figure 1.10. Distribution of horizontal and vertical power in dominant and competitive settlements

Source: Adapted from Khan (2010).

The rents space

	Regulatory rents	Market competition
Export-oriented	Rentiers	Magicians
Domestic market	Powerbrokers	Workhorses

Figure 1.11. The rents space

Source: Pritchett and Werker (2012).

Rents → policy demands

Table 1.1. Policy demands of firms, depending on their location in the rents space

	Transparent rules	Common infrastructure	Specialized infrastructure	Contract enforcement	Subsidies	Exclusivity
Magicians	x	x	x	x	x	
Workhorses	x	x		x		
Powerbrokers						x
Rentiers			x	x	x	x

Deals environment

	Closed (deals are available only to specific individuals/ organizations)	Open (deals depend on actions of agents but not identities)
Ordered (once negotiated, deals will be honoured)	Only those with political connections get to make deals, but they can be confident that officials will deliver	Anyone can make a deal, and they can be certain that officials will deliver
Disordered (deals will be honoured so long as they are in the short-term interests of political elite)	Only those with political connections get to make deals, and even they cannot be certain that officials will deliver	Anyone can make a deal, but no one is certain that officials will deliver

Figure 1.14. Typology of 'deals' environments

Source: Pritchett and Werker (2012).

Political Settlements Analysis

Kelsall, Schulz, Ferguson, vom Hau, Hickey & Levy (2022)

A practitioner synthesis

Integrates the political-economy traditions we just walked through into a framework for practitioners — directly in line with the work of weaving political economy into growth diagnostics.

Two dimensions:

- **Power concentration**
- **Social foundation**

Three blocs inside a polity

- **Leaders Bloc (LB)** — assured supporters of the current leader
- **Contingently Loyal Bloc (CLB)** — currently aligned, could realistically defect
- **Opposition Bloc (OB)** — not currently aligned

Ruling coalition = LB + CLB. Can face external opposition *and* fracture from within.

Power Concentration Index

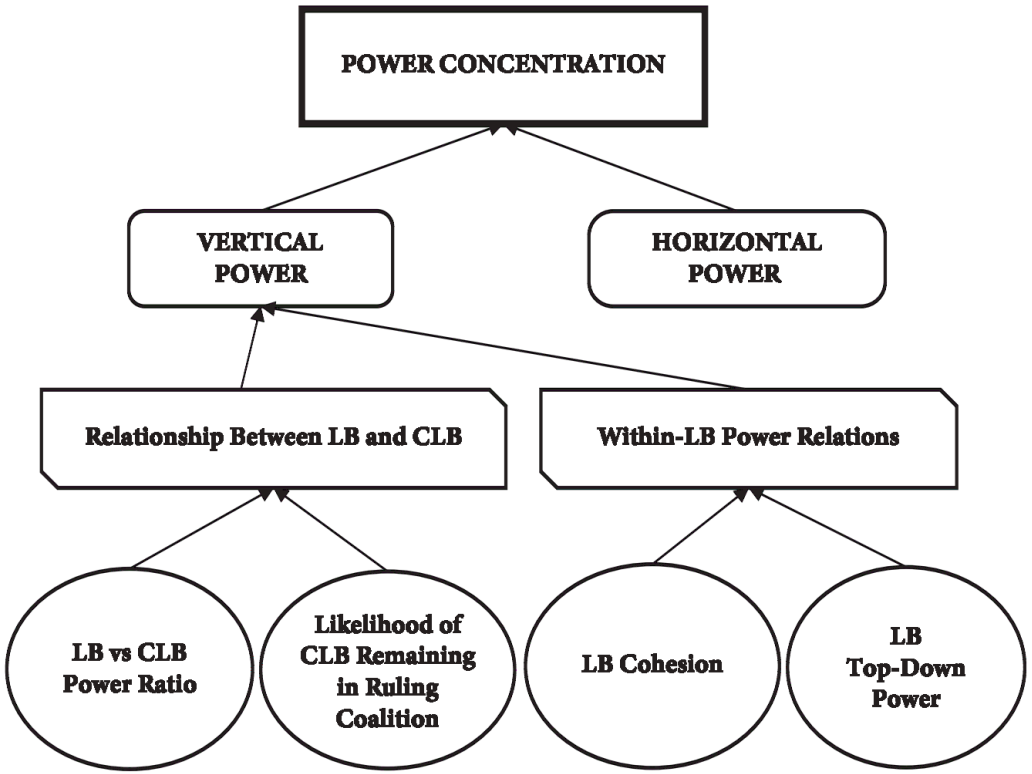


Fig. 4.2 Constructing the PCI and its sub-components

Source: Authors' own

Social Foundation

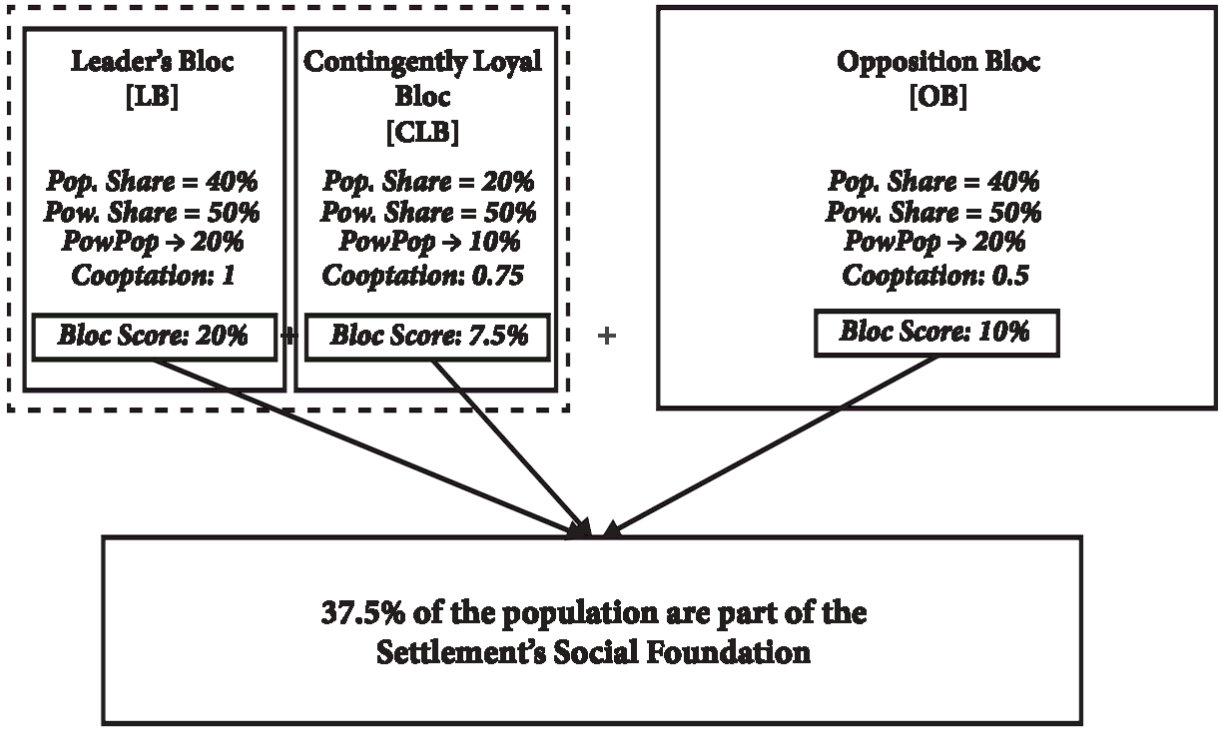


Fig. 4.3 Construction of the social foundation variable

Source: Authors' own

Why it matters for growth

Concentrated settlements offer:

1. **Long time horizons** (stationary bandits) — more investment, more productive rent-seeking, space to build disciplined state capacity
2. **Enforcement** — can impose growth policy on losers, whether rent-seeking elites or expropriated popular classes

Broad social foundations push elites toward inclusive growth — perhaps slower, but more equitable.

Four settlement types, four growth patterns



Fig. 6.3 Political settlement types and predicted economic development performance

Source: Authors' own

Domains of power

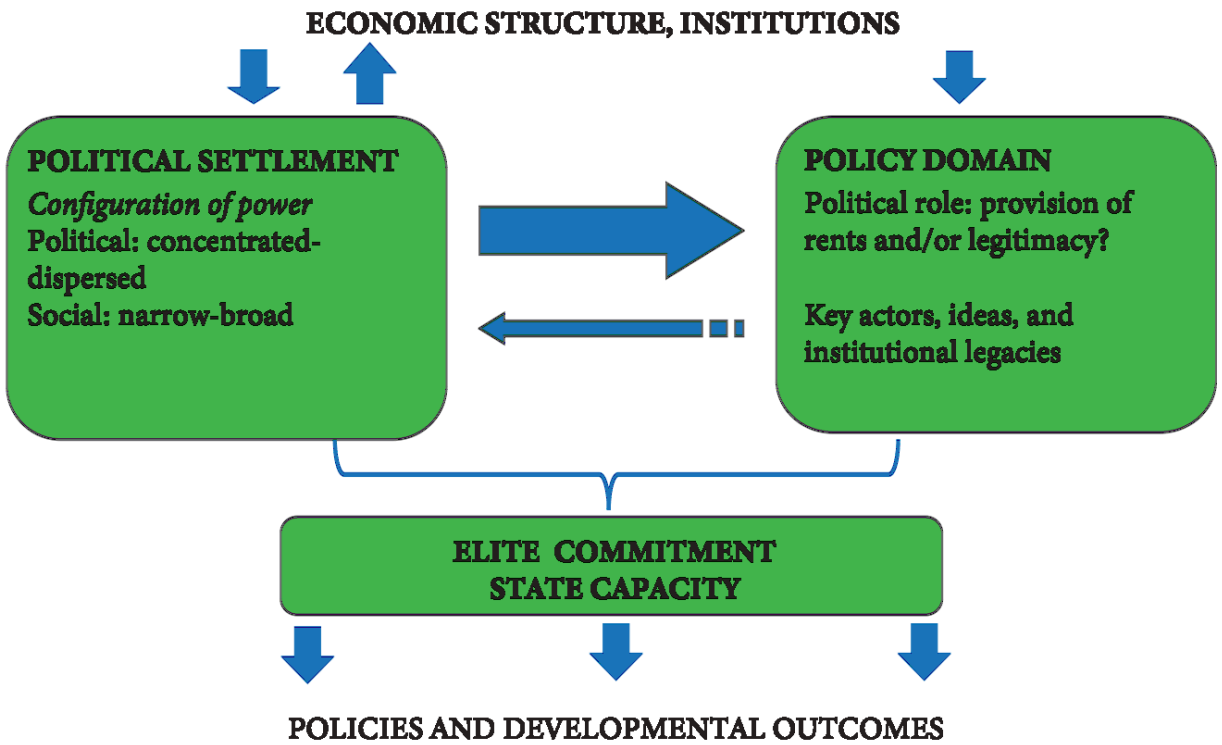


Fig. 6.11 Domains of power

Source: Authors' own

From framework to country

WHERE DO WE SEE THESE DYNAMICS IN THE DATA?

→ COUNTRY PROFILE DEMO